Credit Risk Assessment Guidelines

1. Risk Classification Framework

Every application must be classified into one of three risk bands: LOW, MEDIUM, or HIGH. The classification drives the routing decision in the agentic workflow (auto-recommend path vs. mandatory manual review path).

2. LOW Risk Criteria (all must be true)

Credit score >= 700 AND DTI ratio <= 0.35 AND no prior default history AND employment tenure >= 1 year. LOW risk applications may proceed on the fast-track / expedited router path.

3. MEDIUM Risk Criteria

Credit score between 650 and 699, OR DTI ratio above 0.35 and up to 0.50, OR employment tenure below 1 year, with no default history. MEDIUM risk applications follow the standard sequential path with full risk-agent analysis and require branch-manager human approval.

4. HIGH Risk Criteria (any one triggers HIGH)

Credit score < 650, OR DTI ratio > 0.50, OR any prior default history, OR requested amount with zero collateral exceeds INR 1,000,000. HIGH risk applications are always routed to mandatory senior human review; the AI system must not issue an auto-approval recommendation.

5. Escalation Triggers

If any single financial data field is missing or inconsistent (e.g., income reported as zero, negative EMI), the workflow must halt automated processing and escalate directly to a human analyst rather than guessing values.

6. Explainability Requirement

Every risk classification produced by the AI system must be accompanied by a plain-language explanation referencing the specific policy clauses and financial ratios that drove the decision, so a human reviewer can validate the reasoning quickly.